



Red Wash Transaction and Operating Record

Document ID: SH-PS-RW-TOR-001

Version: 1.0.0

Decision date: 5 September 2026

Canon effective through: 5 September 2026

Synthetic calibration through: 31 August 2026

Classification: Public synthetic diegetic

Owner: Pale Sun operating authority

State: LOCKED where stated; all generated company records remain synthetic evidence

1. Authority and evidence doctrine

This record selects the controlling Red Wash transaction and 2026 operating case in the fictional Sable Harbor universe. It does not claim that Red Wash, its counterparties, permits, employees, shipments, or financial results exist in the real world.

Four independent labels must not be collapsed:

- canon state (LOCKED, PROVISIONAL, OPEN, SUPERSEDED);
- record origin (PUBLIC_SYNTHETIC_DIEGETIC or EXTERNAL_REALITY_ANCHOR);
- evidence/model state (DERIVED, SUPPORTED_ESTIMATE, PROVISIONAL_ASSUMPTION, SCENARIO, OPEN, CONFLICT, or SUPERSEDED); and
- period role (SYNTHETIC_CALIBRATION through August 2026 or MANAGEMENT_FORECAST for September–December 2026).

There is no ACTUAL layer in this package. Locking a fictional case decision does not turn a generated row into a historical actual. Real-world sources constrain the synthetic model; they do not authenticate synthetic company facts.

2. Institutional identity

LOCKED: Pale Sun is Sable Harbor's strategic uranium owner-operator business. Red

Wash is its dedicated underground Wyoming uranium operation, held through a dedicated

legal operating company. Pale Sun is a lean business layer, not another corporate headquarters. Red Wash is an operation first and a controlled proving ground second.

LOCKED: Red Wash produces natural uranium concentrate/yellowcake reported as U3O8. It neither enriches uranium nor fabricates fuel.

OPEN: The operating company's exact legal name, suffix, and jurisdiction are not selected here. "Red Wash Operating Company" is a descriptive role, not a ratified legal name.

3. Acquisition

Selected case — LOCKED

The transaction closes on 18 July 2025 after diligence, a seller re-trade, Sable Harbor's walk-away, a return to negotiations, and changed risk allocation.

Item	Selected amount
Operating assets	\$42.000M
Acquired current assets	\$4.500M
Accounting ARO assumed	\$(16.000)M
Other liabilities assumed	\$(2.500)M
Net identifiable assets / cash consideration	\$28.000M
Environmental/title escrow	\$3.000M
Holdback	\$0.500M
Transaction debt	\$0
Goodwill	\$0

The escrow and holdback are explicit risk-allocation mechanisms. This record does not add them to the \$28.0M consideration a second time.

The H2 2025 stabilization program is \$11.0M: \$8.0M capitalized rehabilitation and \$3.0M repair/stabilization expense. That program and the diligence record preserve the friction of the acquisition; this is not a clean, instant restart.

Seller identity — PROVISIONAL

Northstar Resources is the accepted working seller name. The exact legal name, suffix, and jurisdiction remain OPEN; the previously drafted "Northstar Resources

(Wyoming) LLC” form is not locked by this record.

4. Internal resource and mine basis

The selected internal acquisition/operating basis is a SUPPORTED_ESTIMATE:

- approximately 2.5 million short tons at 0.170% U3O8;
- approximately 8.5 million contained pounds U3O8;
- approximately 7.82 million modeled recoverable pounds;
- 0.9 million inferred tons at 0.145%, excluded from base value and the base mine plan;
- selective drift-and-fill with cemented paste backfill;
- planned maximum depth of approximately 2,500 feet; and
- a compact conventional mill with modeled 600-ton-per-day nameplate capacity.

This is an internal synthetic acquisition and operating basis. It is not a public S-K 1300 reserve disclosure, a feasibility study, a technical report summary, or a professional opinion about a real mineral property.

5. Selected 2026 operating case

The following values are locked inputs or locked outcomes for the selected synthetic case. Approximate physical and cost values retain their stated evidence status.

Driver	Selected value	Evidence/model state
Total Pale Sun/Red Wash establishment	140 FTE	SCENARIO_INPUT
Pale Sun business layer	12 FTE	SCENARIO_INPUT
Red Wash site	128 FTE	SCENARIO_INPUT
Ore mined	175,000 short tons	SCENARIO_INPUT
Head grade	approximately 0.170% U3O8	SUPPORTED_ESTIMATE
Recovery	approximately 92.0%	SUPPORTED_ESTIMATE
U3O8 produced	547,400 lb	DERIVED
Opening finished inventory	125,000 lb	SCENARIO_INPUT
U3O8 sold	500,000 lb	SCENARIO_INPUT
Ending finished inventory	172,400 lb	DERIVED
Modeled weighted realized price	\$72.95/lb	DERIVED

Modeled revenue	\$36.475M	DERIVED
Production cost incurred	\$27.950M	SCENARIO_INPUT
DD&A incurred	approximately \$3.500M	DERIVED
Sustaining capital	\$4.000M	SCENARIO_INPUT
Rehabilitation capital	\$5.000M	SCENARIO_INPUT
Production/mineral taxes	approximately \$2.125M	SUPPORTED_ESTIMATE
Royalties	approximately \$0.7295M	SUPPORTED_ESTIMATE
Freight, assay, and handling	approximately \$0.600M	SUPPORTED_ESTIMATE

Production remains in a post-acquisition rehabilitation period. The model builds from mine, mill, inventory, contract, delivery, and cost drivers; no target EBITDA, margin, net income, or cash flow is authorized as a plug.

Inventory and financial derivation

Production cost and DD&A are incurred measures, not automatic period expense. The released package applies a transparent weighted-average inventory roll-forward to opening inventory, 2026 production, cost of sales, and ending inventory. The currently selected supporting assumptions are \$45.00/lb opening cash cost, \$5.50/lb opening DD&A, an 18% modeled income-tax rate, and \$0.550M other working-capital use. These are SUPPORTED_ESTIMATE scenario inputs, not additional locked historical facts.

The generated statement package and cash-flow bridge are subordinate DERIVED outputs. If they do not reconcile to the operating drivers, the generator must fail rather than force the selected narrative. This release does not claim a separate trial-balance dataset.

The selected DD&A bridge is a MODEL_PROPOSED method supported as a SUPPORTED_ESTIMATE: \$42.0M of approved aggregate operating assets plus \$8.0M of approved capitalized rehabilitation produces a \$50.0M composite modeled basis; 547,400 lb produced divided by 7,820,000 recoverable lb produces a 7.0% units-of-production factor; and \$50.0M multiplied by 7.0% produces \$3.500M of 2026 DD&A incurred. This simplified composite calculation is not an asset-class purchase-price allocation, an audited GAAP useful-life determination, or tax basis.

6. Closure

LOCKED: The current engineering-cost basis is \$25.0M and the opening accounting ARO is \$16.0M. They are different measures and must not be made equal by assumption. The current 2.5% inflation assumption, 6.5% discount assumption, and modeled staged outflows through 2039 are SUPPORTED_ESTIMATE inputs. Engineering current cost, accounting ARO, regulatory surety, and eventual cash spending remain separately named and reconciled.

7. Commercial book and custody

LOCKED: Utility-oriented term contracts are the primary sales structure, with limited discretionary exposure. The selected synthetic book models 150,000 lb at \$61/lb, 150,000 lb at \$72/lb, 125,000 lb at \$80/lb, and a 75,000-lb discretionary placement at \$87/lb. Those prices are modeled contract realizations, not uranium spot quotes or claims about real counterparties.

The named buyers, agreement identifiers, consent records, delivery events, and permit identifiers in the evidence package are synthetic instances. Final settlement follows receipt and assay at the modeled licensed conversion-facility delivery point. A qualified third-party carrier transports the product under the modeled shipper and custody controls.

8. Operating authority

LOCKED: Pale Sun first; proving ground second. Foundry, Willow, Atlas, J2, ESS, and other Sable Harbor institutions may support bounded work only through a named Pale Sun operating owner, qualification gates, explicit stop/rollback conditions, and preserved evidence. They do not displace Red Wash operating authority.

Cole's temporary-stop authority creates an operational disposition; it does not make a claim true. The synthetic 2025 stop record therefore keeps observation, judgment, authority, action, later evidence, and remaining uncertainty separate.

9. Limited ARU/BS&T interface

The controlling bridge is SH-PS-RW-LOG-001.

LOCKED boundaries:

- American Resource Utility (ARU) and Blood, Sweat & Tears Railway (BS&T) had no

pre-existing commercial relationship with Red Wash;

- qualified external carriers serve every 2025 Red Wash movement;
- a real soft, costly, uneven freight backdrop supports—but does not prove—the fictional carrier-consolidation and lane-allocation event;
- the resulting scheduling disruption creates delivery risk but no lost 2025 annual sales and no change to 2025 annual revenue;
- the search begins with replacement carriers, broadens to rail mapping, and the question “Whose line is this?” surfaces ARU/BS&T through operating analysis;
- at discovery, there is no direct mine connection, suitable secure transload, or demonstrated uranium-specific ARU/BS&T capability;
- \$15.0M is an unbooked preliminary interface screening envelope, not acquisition consideration or approved capital; and
- no ARU/BS&T uranium custody or service begins automatically.

The planning sequence is 0–3 months for mapping and diligence, approximately months 3–6 for engineering and approvals, limited service only after all applicable gates at about month 6 or later, and a mature integration review around months 12–18. A mixed external-carrier, truck, transload, and rail design remains permissible.

The full ARU/BS&T case—including acquisition date and terms, seller, routes, assets, customers, workforce, financial statements, final interface design, and final uranium custody decision—remains OPEN and is expressly outside this record.

10. Approved visual sources

The owner-approved Pale Sun logo, Red Wash logo, Red Wash underground plan, and corrected Red Wash site overview are controlled byte-for-byte by `assets/brand/red_wash_visual_manifest.json`. Derivatives may improve placement or accessibility, but may not overwrite, recompress, redraw, or supersede the canonical PNG sources.

11. Public/private boundary

The public repository contains the company-visible evidence and selected decision case. Nonpublic evaluation material remains outside this repository. Any companion must bind to the exact final public merge commit and source hashes after merge; this record does not claim that the binding already exists.

12. Superseded and open scope

Earlier exploratory values of \$24.7M revenue, \$22.3M generic operating cost, 126 employees, \$18.5M ARO, and exploratory acquisition financing are SUPERSEDED and may not feed the selected package. Exact Red Wash and seller legal identities, later mine plans or expansion, and the complete ARU/BS&T case remain OPEN.

Controlled publication • Generated from
docs/canon/RED_WASH_TRANSACTION_OPERATING_RECORD_2026-09-05.md • Do not alter PDF manually